



Review

Reviewed Work(s): Structural Holes: The Social Structure of Competition. by Ronald S. Burt

Review by: Steven B. Andrews

Source: *Administrative Science Quarterly*, Jun., 1995, Vol. 40, No. 2 (Jun., 1995), pp. 355-358

Published by: Sage Publications, Inc. on behalf of the Johnson Graduate School of Management, Cornell University

Stable URL: <https://www.jstor.org/stable/2393644>

JSTOR is a not-for-profit service that helps scholars, researchers, and students discover, use, and build upon a wide range of content in a trusted digital archive. We use information technology and tools to increase productivity and facilitate new forms of scholarship. For more information about JSTOR, please contact support@jstor.org.

Your use of the JSTOR archive indicates your acceptance of the Terms & Conditions of Use, available at <https://about.jstor.org/terms>



JSTOR

Sage Publications, Inc. and Johnson Graduate School of Management, Cornell University are collaborating with JSTOR to digitize, preserve and extend access to *Administrative Science Quarterly*

Review by Steven B. Andrews

Burt has two goals in *Structural Holes*: to delineate a structural approach to competitive social processes such as exchange and to show how this approach can tie together many different research agendas. These range from development of theories of "personality" to the survival dynamics of a population of organizations and include the provision of a macro/micro bridge. Such a broad attempt should be read and, more importantly, reacted to by an equally broad array of social scientists as well as management practitioners.

The claim that the social structure of relations in which an actor is embedded presents constraints and opportunities for behavior is one that has easily rolled off the tongue of many network analysts and, indeed, many social scientists. What Burt presents in this work is, however, a way to actually measure constraints and opportunities, as well as support for the claim "that people and organizations are not the source of action so much as they are the vehicles for structurally induced action" (p. 5). For those familiar with Burt's work, this book is a culmination, bringing together many areas of his prior work. Those unfamiliar with this line of work will find this book a useful and accessible introduction.

Burt builds on the concept of structural autonomy, introduced in earlier work, to operationalize the constraints and opportunities of the network structure in which an actor is embedded. He rigorously develops the concept of structural autonomy in the first half of the book, exploring empirical examples, and then turns in the second half to the broad implications for theory and methodology. He also further substantiates the structural argument that concepts measuring actual social processes are superior to proxy measures of actors' characteristics, which may not be closely associated with the mechanisms of a given social phenomenon.

Burt proposes to study the social structure of competition. He focuses on the individual actor, the network in which he or she is embedded, and how this structure influences instrumental action and access to resources. What Burt refers to as the *tertius gaudens* is the third actor in a triad, who can play the other actors off each other, for her or his own benefit (pp. 30–32). Structural autonomy occurs when such actors face network structures in which holes exist between their alters such that they can be played off each other while being unable to form a coalition against such instrumental behavior. Constraint occurs for actors who face networks without such holes and are also separated from others with whom they might form a coalition against another *tertius*. While Burt explores the effects of structural autonomy in empirical settings (market exchanges and manager promotions), the book also reads as a manual for those wishing to optimize their instrumental networks. Burt notes that this is not a study of all interactions but is limited to competition and exchange in a broad sense. Simmel, who provided the notion of *tertius*, noted that

355/ASQ, June 1995

exchange is inherent to some extent in all interactions. So the activation of structural autonomy and the construction of a network based on the optimization of structural holes may well be relevant to all interactions to some degree. But the structural autonomy argument is best suited to those interactions for which exchange and competition are primary.

Researchers in several areas, such as those examining the state, might disagree with the emphasis Burt places on the individual actor (be it a person or an organization) looking out over its immediate structural setting and the concomitant resource flows (especially information). But unless such macro-structures can be shown to be more than the aggregation of their parts, then a Burtian analysis of structural holes (as he claims) could be done iteratively across levels of aggregation (e.g., individuals, coalitions, policy domains, states) to adequately understand the instrumental behavior of such broadly defined "actors."

The emphasis Burt places on instrumental action may raise other red flags. Affective and instrumental networks need not be the same, and perhaps they should not be (as Burt notes in chap. 1). For analysts whose central focus is on social support, the claims Burt makes about the optimal arrangement of ties in which to locate oneself and that embedded relations are a strategic response to alleviate constraining relations may raise theoretical concerns. Burt does note that a competitively efficient network may not be compatible with friendship ties (p. 24). But social support analysts may be uncomfortable with the notion of affective relations as a residue of strategic action aimed at alleviating constraint. These concerns tie into a long tradition of work coming out of the work of Cooley, Thomas, and Mead, on through Berger and Luckmann, which examines the social construction of identity through everyday interactions. While not presented in strict network terms, such work clearly ties into the concerns of social structural research. Such theorists might wonder what would happen to the identity of actors who deliberately construct their networks of connections such that they maximize conflicting demands and exposure to multiple worlds of taken-for-granted interaction that are guided by potentially competing institutions. Such institutions, as external social objects, prevent actors from defining the social structure around them as they choose. This is a different form of constraint than that defined by Burt, but it is a form that may need to be brought into any longitudinal analysis of social structural stability or transformation. Thus Burt has laid down a challenge for network analysts to determine fully the relative roles of instrumental and affective relations for actors.

One of the major strengths of this book is that Burt brings together many disparate areas from network and organizational analysis. For example, when he talks about the utility of managers spanning "social frontiers" to increase their chances of promotions (chap. 4), this concept ties in elements from the boundary-spanning literature in organizational behavior and brokerage roles in network analysis. Burt also claims that the structural autonomy argument provides the basis for a theory of the personality as a strategic response to constraint by embedding

356/ASQ, June 1995

constraining relations in other relations (chap. 7). Burt admits that this is the most speculative part of his argument, but it potentially provides a connection with the symbolic-interactionist tradition. This may also be the weakest part of his presentation. For example, in the first chapter he chooses to ignore the motivations of actors and does not discuss the role of strategic misrepresentation of interests in negotiations, elements that a full theory of personality should be able to encompass. A conceptually similar argument is presented that such strategic embedding behavior among entrepreneurs results in the creation of organizations, as an analogous reaction to constraining relations. This theory of the firm allows Burt to show that structural autonomy is linked to both resource dependence and transaction costs theories.

Economic sociologists will want to pay attention to this work. Burt attempts to bring social structure into empirical market operations, as a means of directly dealing with imperfect competition rather than viewing it as a deviation from a hypothesized economic model. Burt's measure of the successful use of the opportunities presented by one's networks in a market setting is based on deviations from the expected level of profit based on supply and demand. To the extent that an actor can manipulate other actors in the market to charge higher than expected prices, it should. Using this assumption, he finds evidence of the effects of network structure on behavior and, hence, on profits. Thus he is adding nuances to the economic explanation of price-setting behavior.

There is a growing tradition within economic sociology, coming out of the work of White and Podolny (among others), in which it is argued that this central claim of economics for supply and demand effects may be problematic. Burt refers to this literature as the market interface model (chap. 6). In this model, demand is unknown. Therefore, prices are set as signals of quality to define future demand. While Burt's discussion assumes away such quality differences, these have come to play an important role in extensions of this model (cf. Podolny, 1993). Markets are locally defined through the status hierarchy that develops out of signaling behavior and the resulting created demand. Different actors take different quality niches, as indicated by relative prices. While much of this work has come out after Burt's book went to press, it would be interesting to see how these two traditions might relate to each other. These two approaches are perhaps not as far removed from each other as they at first appear. Both are based on the outcomes of interactions of actors embedded within a local market structure. Still, research in the sociology of markets may suggest that the outcome Burt uses to indicate successful use of structural autonomy may need to be investigated further to separate how much of what is happening fits into the economic price-setting model and how much fits into the sociological status-signaling model.

Other researchers who will want to pay attention to this work are population ecologists and institutional theorists. Burt shows complementary aspects of structural autonomy

and population ecology approaches, with the suggestion that structural autonomy allows for the development of a "comparative" population ecological analysis. Institutional theorists may feel comfortable with Burt's use of institutions as the historical residue of strategic action, but they may feel less than pleased with his exploration of institutional pressures. For example, he notes that market interactions with actors in the government sector display different behavioral patterns than are evident in market interactions with actors in other sectors in creating market constraint, without noting that this sector also creates the institutional "rules of the game" (pp. 102–110, 221–222). This is an area for further work.

This book clearly should be of interest to many different groups: network researchers, organizational researchers, business practitioners, sociologists in general, and those who seek a network optimization algorithm, among others. This vein of research could provide a forum for various elements within sociology (ranging from ethnomethodologists and symbolic interactionists through institutional theorists to strict structural analysts) to begin to interact with each other and come to a fuller understanding of how individual actors and society co-exist.

Steven B. Andrews
Assistant Professor
Department of Sociology
Yale University
New Haven, CT 06520

REFERENCE

Podolny, Joel M.

1993 "A status-based model of
market competition."
*American Journal of
Sociology*, 98: 829–872.

358/ASQ, June 1995